

4-3 Closing Entries

As discussed in [Chapter 3](#), the adjusting entries are recorded in the journal at the end of the accounting period. For [NetSolutions](#), the adjusting entries are shown in [Exhibit 7](#) of [Chapter 3](#). After the adjusting entries are posted to NetSolutions' ledger, shown later in this chapter, the ledger agrees with the data reported on the financial statements shown in [Exhibit 2](#).

Objective 3 - Journalize closing entries.

The balances of the accounts reported on the balance sheet are carried forward from year to year. Because they are relatively permanent, these accounts are called [permanent accounts](#) (Term for balance sheet accounts because they are relatively permanent with balances that carry forward from year to year.)

or

[real accounts](#) (Term for balance sheet accounts because they are relatively permanent with balances that carry forward from year to year.)

. For example, Cash, Accounts Receivable, Equipment, Accumulated Depreciation, Accounts Payable, Common Stock, and Retained Earnings are permanent accounts.

The balances of the accounts reported on the income statement are not carried forward from year to year. Also, the balance of the dividends account, which is reported on the statement of stockholders' equity, is not carried forward. Because these accounts report amounts for only one period, they are called [temporary accounts](#) (Term for income statement accounts because their balances relate to only one period and are not carried forward to the next period.)

or

[nominal accounts](#) (Term for income statement accounts because their balances relate to only one period and are not carried forward to the next period.)

. Temporary accounts are not carried forward because they relate only to one period. For example, the Fees Earned of \$16,840 and Wages Expense of \$4,525 for NetSolutions shown in [Exhibit 2](#) are for the two months ending December 31, 20Y3, and should not be carried forward to 20Y4.

At the beginning of the next period, temporary accounts should have zero balances. To

achieve this, temporary account balances are transferred to permanent accounts at the end of the accounting period. The journal entries that transfer these balances are called

Note

Closing entries transfer the balances of temporary accounts to the retained earnings account.

closing entries (The journal entries that transfer the balances of temporary accounts to permanent accounts at the end of the accounting period.)

. The transfer process is called the

closing process (The process of transferring the balances of temporary accounts to permanent accounts at the end of the accounting period.)

and is sometimes referred to as

closing the books (The process of transferring the balances of temporary accounts to permanent accounts at the end of the accounting period.)

The closing process involves the following two steps:

Step 1.

Revenue and expense account balances are transferred to the retained earnings account.

Step 2.

The balance of the dividends account is transferred to the retained earnings account.

International Connection

IFRS International Differences

Financial statements prepared under accounting practices in other countries often differ from those prepared under generally accepted accounting principles in the United States. This is to be expected because cultures and market structures differ

from country to country.

To illustrate, **BMW Group** prepares its financial statements under International Financial Reporting Standards as adopted by the European Union. In doing so, BMW's balance sheet reports fixed assets first, followed by current assets. It also reports stockholders' equity before the liabilities. In contrast, balance sheets prepared under U.S. accounting principles report current assets followed by fixed assets and current liabilities followed by long-term liabilities and stockholders' equity. The U.S. form of balance sheet is organized to emphasize creditor interpretation and analysis. For example, current assets and current liabilities are presented first to facilitate their interpretation and analysis by creditors. Likewise, to emphasize their importance, liabilities are reported before stockholders' equity.

Regardless of these differences, the basic principles underlying the accounting equation and the double-entry accounting system are the same in Germany and the United States. Even though differences in recording and reporting exist, the accounting equation holds true: The total assets still equal the total liabilities and stockholders' equity.

The two closing journal entries required by the closing process are as follows:

Closing Entry (1): Debit each revenue account for its balance, credit each expense account for its balance, and credit (net income) or debit (net loss) the retained earnings account.

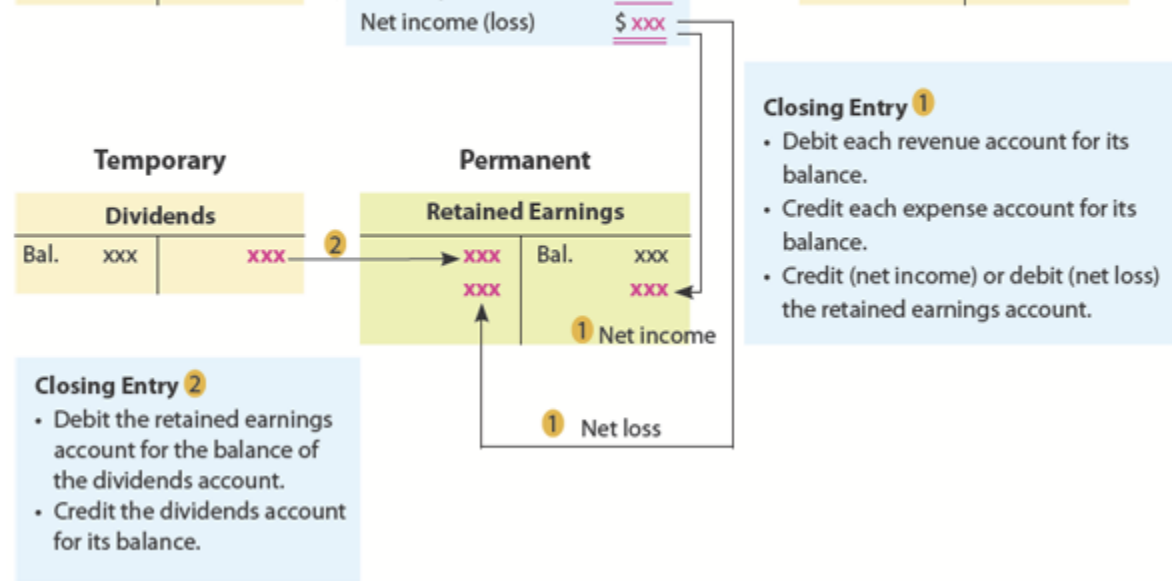
Closing Entry (2): Debit the retained earnings account for the balance of the dividends account and credit the dividends account for its balance.

Exhibit 3 diagrams the closing process.

Exhibit 3

The Closing Process





Closing entries are recorded in the journal and are dated as of the last day of the accounting period. In the journal, closing entries are recorded immediately following the adjusting entries. The caption, *Closing Entries*, is often inserted above the closing entries to separate them from the adjusting entries.